BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
SPECIAL BENCH, NEW DELHI

Company Petition No. CP (CAA) No.16 (ND) of 2020
Connected with
Company Application No. CA (CAA) No. 185 (ND) of 2019

Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016and the rules framed under the National Company Law Tribunal Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

1. **BLP Renewable Energy Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at 77, Poorvi Marg, Basement, Vasant Vihar, New Delhi-110 057

.....Petitioner Company No. 1/Transferor Company

AND

2. **Bharat Light and Power Pvt Ltd,** a private limited company incorporated under the Companies Act, 1956 and having its registered office at 77, Poorvi Marg, Basement, Vasant Vihar, New Delhi-110 057

.....Petitioner Company No. 2/Transferee Company

ORDER DELIVERED ON:19.06.2020

CORAM:

Hon'ble Mr P.S.N. Prasad, Member (J)
Hon'ble Ms Sumita Purkayastha, Member (T)

Appearance

Mr Rajeev K Goel, Advocate

.....for the Petitioner Companies

ORDER

Per: Mr P.S.N. Prasad, Member (J)

1. The Present Petition is filed by Petitioner Companies under Sections 230 & 232 of the Companies Act, 2013 read with Rules framed there under, as in force from time to time, for the sanction of the proposed Scheme of Amalgamation of BLP Renewable Energy Pvt LtdwithBharat Light and Power Pvt Ltdand their respective Shareholders and Creditors **(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")**.

2. The proposed Scheme of Amalgamation has previously been approved by the Board of Directors of the Transferor Company and the Transferee Company in the respective meetings held on20th November, 2019.

3. The factual position of the Authorized, Issued, Subscribed and Paid up share Capital of both the Petitioner Companies are described well in the present Company Petition, which are being reproduced hereunder:

a. The Authorised Share Capital of the Transferor Company is Rs.50,00,000 divided into Rs.5,00,000 Equity Shares of Rs.10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is Rs.23,35,000 divided into Rs.2,33,500 Equity Shares of Rs.10 each.The Transferor Company has also issued Rs.12,30,00,000 Compulsorily Convertible Debentures 'Class-A' of Rs.10 each aggregating Rs.123,00,00,000.

b. The Authorised Share Capital of the Transferee Company is Rs.51,00,00,000 divided into Rs.26,00,000 Equity Shares of Rs.100 each aggregating to Rs.26,00,00,000; 1,70,000 (0.0001%) Optionally Convertible Preference Shares of Rs.1,000 each aggregating to Rs.17,00,00,000; and 8,00,000 (0.0001%) Compulsorily Convertible Preference Shares of Rs.100 each aggregating to Rs.8,00,00,000. The present Issued, Subscribed and Paid-up Share Capital of the Company is Rs.37,20,56,500 divided into 17,60,959 Equity Shares of Rs.100 each aggregating to Rs.17,60,95,900; 62,240 (0.0001% Non-cumulative) Optionally Convertible Preference Shares 'Class-A' of Rs.1,000 each aggregating to Rs.6,22,40,000; 95,000 (0.0001% Non-cumulative) Optionally Convertible Preference Shares 'Class-B' of Rs.1,000 each aggregating to Rs.9,50,00,000; and 3,87,206 (0.0001%

Non-cumulative) Compulsorily Convertible Preference Shares 'Series-A' of Rs.100 each aggregating to Rs.3,87,20,600.

4. The Rational of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

a. Both the Transferor Company and the Transferee Company are closely held private limited Group Companies under common shareholding, management and control. The proposed amalgamation of the Transferor Company with the Transferee Company would result in business synergy, consolidation and pooling of their resources.

b. After a detailed review of the group's overall operations and in line with the overall group's objectives, it is considered desirable to consolidate the group's Indian operations into one flagship entity so as to result in a simplified corporate structure, eliminate cross holdings and reduce regulatory compliances and costs.

c. Given the complimentary nature of business activities of the Transferee Company and the Transferor Company (as defined hereinafter) it is commercially desirable to consolidate the operations of the Transferor Company (as defined hereinafter)

with the Transferee Company. The Transferee Company is the BLP group's flagship entity in India and the management desires to retain its name.

d. Besides economies of scale and other cost reductions, the proposed amalgamation would provide synergistic benefits by combining complementary businesses and operations of Transferee Company and the Transferor Company (as defined hereinafter). Consolidation of the Indian operations shall inter-alia result in elimination of the inter-company transactions and better and timely reporting of the Indian operations to the group.

e. The proposed amalgamation will provide greater functional integration at various levels of the organization such as operations, information technology, human resources, finance, legal and general management leading to optimum utilization of resources and an efficient organization structure capable of responding swiftly to volatile and rapidly changing market scenarios.

f. Furthermore, the proposed amalgamation will also facilitate achievement of greater management focus and control over the consolidated business operations of the group in India.

g. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

h. The said Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

5. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013.

6. It has also been stated in the Petition that none of the Directors of the Petitioner Companies have any material interest in the Scheme, save as except to the extent of shareholding in the abovementioned Petitioner Companies.

7. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bonafide* and is in the interest of both the Petitioner Companies and their Shareholdersand Un-secured Creditors as a whole and is also just and equitable.

8. It is also submitted that the Board of Directors of the Petitioner Transferor Company and the Transferee Companyhave determined the share exchange ratio as under:

a. The Transferee Company will issue 2 (two) Equity Shares of ₹ 100 each, credited as fully paid up, for every 115 (one hundred and fifteen) Equity Shares of ₹ 10 each held in the Transferor Company- BLP Renewable Energy Pvt Ltd.

9. The Petitioner Companies have also annexed the valuation report dated 20th November, 2019given by Mr Pradeep Mutreja, a Chartered Accountant and the Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide registration No. IBBI/RV/06/2019/11167,in relation to the share exchange ratio.

10. A perusal of the present Petition discloses that initially the Petitioner Companies had filed Company Application No. 185 (ND) of 2019 seeking directions of this Tribunal to dispense/convene meetings of Shareholders, Secured Creditors and Un-secured Creditors of the Petitioner Companies for the purpose of the considering and approving,

with or without modification, the aforesaid Scheme of Amalgamation.Accordingly, this Hon'ble Tribunalvide its order dated 19th December, 2019, was pleased to dispense with the requirement of convening all the meetings of Shareholders, Debenture holders and Un-secured Creditors of the Transferor Company;Equity Shareholders, Optionally Convertible Preference Shareholders'Class-A', Optionally Convertible Preference Shareholders'Class-B' and Compulsorily Convertible Preference Shareholders 'Series-A' of the Transferee Company. None of the Petitioner Transferor Company and the Transferee Company had any Secured Creditor. Further, the Petitioner Transferee Company did not have any Un-secured Creditor.

11. This Tribunal vide its order dated 16th January, 2020,directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make newspaper publication in this respect one in English and another in vernacular having wide circulation in the areas where the registered office of the Petitioner Companies is situated.

12. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, confirming that notices have been duly published in English Newspaper"Business Standard", Delhi Edition and Hindi Newspaper "Business Standard",Delhi Edition. The Petitioner Companies

have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Delhi and Haryana, New Delhi; (c) The Official Liquidator, New Delhi; and (d) the Income Tax Department.

13. In response to the above stated notice, the Regional Director has filed his report/affidavit dated 25thFebruary, 2020, along with the report of the Registrar of Companies. No objection has been raised by the RD and ROC to the proposed Scheme of Amalgamation.

14. The Official Liquidator has also filed his report and no objection has been raised by him to the proposed Scheme of Amalgamation.

15. The Income Tax Department has filed its report on 12.03.2020 and no objection has been raised by him to the proposed Scheme of Amalgamation.

16. Petitioners have submitted that in terms of the provisions of the Scheme of Amalgamation, all the assets & liabilities including statutory liabilities & Income Tax, etc., as well as the pending demands and litigations in the Transferor Company will vest in and will be continued against the Transferee Company. The Income Tax Department is entitled to recover

any tax demand or any other dues of the Transferor Company from the Transferee Company. Hence, the Scheme will not adversely affect the rights of the Income Tax Department qua the Transferor and Transferee Companies, in any manner.

17. We have gone through the report of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi andthe Official Liquidator, New Delhi, Income Tax Department and after perusing the same, we are of the view that the sanction of the present Scheme is not against public policy, nor would it be prejudicial to the public interest at large.

18. In addition to above, all the statutory compliance either seems to have been complied with or further undertaken for making compliances by Petitioner Companies. Therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

19. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

20. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

21. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction

granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

22. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

23.THIS TRIBUNAL DO FURTHER ORDER

1. *That the Transferor Companies shall stand dissolved without following the process of winding-up; and*
2. *That all the property, rights and powers of the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*
3. *That all the liabilities and duties of the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232*

of the Act, be transferred to and become the liabilities and duties of the transferee company; and

4. *That all proceedings now pending by or against all the Transferor Companies, be continued by or against the transferee company; and*

5. *That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date.*

6. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered to the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents*

relating to the Transferor Companies registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

7. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

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(P.S.N PRASAD)
MEMBER (J)

-S-d-

(SUMITA PURKAYASTHA)
MEMBER (T)